

Beyond the Deadline

Why Clean Core Discipline, Not Migration Speed, Will Determine the Success of the GCC's SAP S/4HANA Transition

ASCENDUS

A perspective on enterprise technology modernization for GCC organizations moving from SAP ECC to SAP S/4HANA.

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Executive Summary

Across the GCC, hundreds of enterprises are working through the same decision at the same time: how to move off SAP ECC before mainstream maintenance ends in December 2027. The deadline is genuine. SAP has confirmed it directly, and the region's largest SAP users, in energy, government, financial services, and manufacturing, are already deep into planning or execution.

The question that matters more than the deadline is what kind of SAP S/4HANA environment comes out the other side. Many migrations underway today are structured to hit the date: convert the existing ECC system, carry forward the customizations that took a decade to build, and go live on schedule. This approach works, in the narrow sense that it produces a functioning S/4HANA system. It does not produce a modern one.

Industry research shows technical debt is already a dominant constraint on enterprise IT delivery, and organizations that defer addressing it pay materially more to maintain their systems over time. In the GCC specifically, a parallel pressure is building: regulators in Saudi Arabia and the UAE are moving toward tighter data residency and compliance requirements, which land directly on whichever ERP core an enterprise carries into its next decade.

This paper argues that the real risk in the region's S/4HANA migration wave is not moving too slowly. It is migrating in a way that recreates the same fragility inside a newer, more expensive system. Enterprises that treat the 2027 deadline purely as a cutover date, without a clean core discipline governing what moves, what gets redesigned, and what gets retired, are likely to find themselves back in a modernization project within five to seven years.

The alternative is not slower. It is more deliberate. This paper sets out a practical framework, the Six-Pillar Clean Core Model, that GCC enterprises can use to structure their migration so that the platform they build in 2026 and 2027 is still the right platform in 2035.

1. The Current Landscape

Three forces are converging on GCC enterprises at the same time, and each one independently would justify a modernization decision.

- SAP's confirmed maintenance strategy: mainstream maintenance for SAP Business Suite 7 core applications, including SAP ECC 6.0 on Enhancement Packages 6 through 8, ends 31 December 2027, with optional extended maintenance available through 2030 at a premium
- National digital agendas: Saudi Arabia's Vision 2030 and the UAE's Vision 2031 are funding large-scale cloud and data infrastructure investment, with Saudi Arabia's ICT market alone projected to grow from roughly USD 60 billion in 2025 to over USD 100 billion by 2031

- Tightening in-region regulation: Saudi data residency rules now carry fines of up to SAR 25 million for non-compliance, and similar scrutiny is building across the UAE, raising the stakes on how and where enterprise data is governed

Together, these forces are compressing what would ordinarily be a carefully sequenced, multi-year modernization decision into a shorter, higher-pressure window. This is happening at exactly the moment the region's SAP skills market is tightest, as experienced consultants are pulled across dozens of simultaneous migration programs from Riyadh to Dubai.

SAP's own maintenance strategy places 31 December 2027 as a fixed point. What organizations build before that date, not the date itself, will define their next decade of enterprise technology.

2. The Business Problem

The direct consequence of deadline compression is that most migrations default to speed over redesign. In practice, that means brownfield conversion: take the existing ECC system, run the technical conversion to S/4HANA, and preserve custom code and configuration wherever functionally possible. In stable, lightly customized environments, this can be entirely appropriate.

Most GCC SAP environments are not lightly customized. Many were implemented ten to twenty years ago, expanded across new business units, legal entities, and country operations, and layered with custom code to handle exceptions that standard SAP did not support at the time. Regional analysis of SAP program outcomes consistently points to the same conclusion: implementations in the Middle East tend to fail or underperform not because of the technology, but because of how the programs are run and governed.

Carrying that pattern into a new platform has measurable consequences.

- **Cost:** Gartner research finds that organizations which defer addressing technical debt spend up to 40 percent more on ongoing maintenance than peers who address it early
- **Delivery risk:** a documented SAP skills shortage across the Gulf makes any post-go-live rework slower and more expensive to resource than it would have been during the original program
- **Compliance exposure:** a system that is hard to reconfigure struggles every time a regulator updates a rule, because customization inside the core has to be manually reworked instead of reconfigured
- **Strategic limitation:** enterprises that carry forward ECC-era customization typically also carry forward per-country instance sprawl, limiting the group-level reporting and analytics benefits that were part of the original business case for moving to S/4HANA

The net effect is a system that looks modern (a new database, a new interface, S/4HANA on the letterhead) but behaves like the old one underneath. The organization has spent a multi-year, often eight or nine-figure program to relocate its technical debt rather than resolve it.

3. What the Evidence Tells Us

The following findings, drawn from SAP's own published strategy and independent industry research, describe the environment GCC enterprises are actually migrating into.

Finding	What It Means	Why Leaders Should Care
SAP mainstream maintenance for Business Suite 7 / ECC 6.0 (EHP 6-8) ends 31 December 2027, per SAP's own support strategy.	Organizations not live on S/4HANA by that date move to extended or customer-specific maintenance, at a premium and with reduced scope.	The negotiating position and support quality both weaken the longer an enterprise waits past the deadline.
Gartner finds that deferring technical debt raises maintenance cost by up to 40 percent, and most development teams report currently carrying meaningful technical debt.	Technical debt is an active, quantified cost center in enterprise IT budgets today, GCC included.	A migration that reproduces this debt in a new system does not remove the cost. It resets the clock on when the cost gets paid.
Adoption of SAP Business Technology Platform, the standard clean core extensibility layer, has reached roughly half of the SAP customer base and continues to rise.	Clean core is moving from an SAP recommendation to a market norm rather than a niche best practice.	Migrating without a BTP-based extensibility strategy increasingly means choosing a shrinking minority position, with fewer proven patterns and partners.
Saudi Arabia's digital economy reached roughly SAR 495 billion in 2025 (about 15 percent of GDP), alongside data residency rules carrying fines of up to SAR 25 million.	GCC governments are simultaneously funding rapid digital growth and tightening the regulatory perimeter around enterprise data.	A fragmented, customized data model is structurally harder to prove compliant, market by market, than a standardized one.
The UAE hosts over 1,000 SAP customer installations, the largest concentration in the Middle East, with regional SAP and ERP cloud contracts reportedly growing over 40 percent year over year.	The region's S/4HANA migration wave is underway at scale right now, not a future event.	The design choices being made in current GCC SAP programs will define the region's enterprise technology base for the next decade.

4. Rethinking the Conventional Approach

The conventional approach in most current GCC programs is the fastest technically viable path to a live S/4HANA system before 2027: typically a brownfield conversion, sometimes paired with RISE with SAP, without a parallel custom code remediation effort built into the plan and timeline.

This made sense under the constraints most programs face: a fixed vendor deadline, real business continuity risk from over-engineering a migration, internal pressure to show visible progress, and a genuinely scarce skills market that makes an ambitious rebuild feel riskier than a straightforward conversion.

It breaks down against SAP's own clean core doctrine, which is explicit that unmanaged customization does not disappear during a migration. It simply moves to a new, more expensive system, where it remains just as hard to upgrade and just as exposed to the next regulatory change.

What should replace or complement it is treating migration and modernization as two coordinated but distinct disciplines inside the same program. Migration handles the technical conversion, data, and cutover. Modernization decides, object by object, what happens to the custom code that was built to solve historical or GCC-specific exceptions: retire it because standard S/4HANA now covers the need, reconfigure it using SAP's clean core extensibility levels, or rebuild it on BTP as a governed, upgrade-safe extension.

This is a heavier lift than a pure technical conversion. It is also the only version of migration that produces the agility S/4HANA is meant to deliver.

5. A Practical Framework: The Six-Pillar Clean Core Model for GCC Enterprises

SAP defines clean core around five guiding principles: software stack, processes, extensibility, integration, and data and operations. For GCC enterprises, a sixth pillar earns its place given the regulatory environment described above.

Pillar	What It Requires
Core Standardization	Keep the S/4HANA core as close to SAP standard as possible. Treat every deviation from standard as a deliberate decision, not a default outcome of migration.
Governed Extensibility	Build necessary customization on SAP BTP or through released APIs and BADIs, classified against SAP's extensibility level model, never through direct modification of the core.
Data Integrity	Standardize master data models before go-live. Retire unused custom tables and legacy fields rather than carrying them forward into the new system.
Modern Integration	Replace point-to-point custom interfaces with API-based, event-driven integration patterns wherever the migration already touches the interface.
Operational Governance	Establish an ongoing clean core council that reviews every new extension request against the same standard applied at go-live, so the core does not re-accumulate debt over time.
Regulatory Configurability	Handle e-invoicing, VAT, and data residency requirements through SAP's standard localization and Document and Reporting Compliance frameworks, so the next regulatory change becomes a configuration task rather than a project.

Four Stages of Core Maturity

Most GCC enterprises migrating on the conventional timeline, without a deliberate clean core program, will land at the second of four possible stages.

Stage	What It Looks Like	Risk
Legacy Core	Running SAP ECC, heavily customized, often fragmented across separate country or business unit instances.	Approaching the 2027 maintenance deadline with rising support cost and shrinking vendor flexibility.

Stage	What It Looks Like	Risk
Transitional Core	Technically converted to S/4HANA, but customization and instance sprawl carried over largely unchanged.	Looks modern, behaves like the old system. The organization has paid for a migration without resolving the underlying debt.
Clean Core	Standardized core, governed extensions on BTP, unified data model, regulatory requirements handled through configuration.	Requires sustained governance discipline to avoid drifting back toward Transitional Core over time.
Adaptive Core	Clean core plus embedded AI and automation, able to absorb new mandates, markets, or business models primarily through configuration.	The target state, reached only by enterprises that treat clean core as an ongoing operating discipline, not a one-time project milestone.

The purpose of this framework is not to slow migrations down. It is to make sure the multi-year investment GCC enterprises are already committing to lands on Clean Core rather than Transitional Core.

6. Implementation Considerations

- **Where to begin:** run a custom code and extensibility audit before choosing between greenfield, brownfield, or selective data transition. Classify every custom object against the extensibility level it should occupy going forward, not how it was originally built.
- **Governance:** stand up a clean core council, spanning business and IT, before go-live, with real authority to decline new core modifications.
- **Skills:** the Gulf's SAP talent market is tight, particularly for clean core and BTP-experienced consultants. Secure delivery and post-go-live support capacity early rather than assuming availability closer to the deadline.
- **Data:** treat master data cleanup as a gating milestone for a clean core outcome, not a parallel nice-to-have.
- **Integration:** inventory existing point-to-point interfaces and prioritize replacing the highest-risk ones with API-based patterns while the system is already being touched.
- **Security and compliance:** confirm data residency and hosting arrangements against current GCC regulatory requirements, which have moved quickly over the past two years.
- **Change management:** give business process owners, not only IT, formal accountability for standardization decisions, since most requests to customize originate from business teams protecting a familiar process.
- **Measurement:** define clean core KPIs before the program starts, so success is measured by more than the go-live date.

Common Implementation Risks

- Treating clean core as an IT initiative rather than a business governance decision
- Underestimating the time required for a proper custom code audit

- Assuming RISE with SAP alone guarantees a clean core outcome, when it provides the platform, not the discipline
- Losing clean core governance in the twelve months after go-live, once the program team disbands

7. Measuring Business Impact

Clean core programs that report only technical go-live milestones miss the point of the investment. Every technology metric below should translate into a business outcome leadership actually cares about.

Technology Metric	Business Metric It Should Translate To
Percentage of core objects unmodified versus S/4HANA standard	Cost and duration of the next SAP upgrade or enhancement pack cycle
Extensions built on BTP versus direct core modification	Time and cost to onboard a new legal entity, business unit, or country instance
Master data quality score and duplicate rate	Reliability of group-level financial and compliance reporting
Time to configure a new regulatory requirement	Speed and cost of achieving compliance against a regulator's deadline
System availability and performance	Order-to-cash cycle time and finance close duration

A clean core program that only reports “go-live achieved” has not measured the thing that actually matters: whether the enterprise emerged more able to absorb its next change with less disruption.

8. Recommendations for Decision-Makers

- 1. Treat 31 December 2027 as a scoping constraint, not a design principle.** A fast migration and a clean one are not mutually exclusive if the custom code audit starts now.
- 2. Commission an independent custom code audit before choosing a migration path.** Classify every object against SAP's extensibility level model before deciding between greenfield, brownfield, or selective data transition.
- 3. Make a defined clean core KPI a formal go-live governance gate.** Percentage of unmodified core objects should be a sign-off condition, not an aspiration mentioned in a steering committee slide.
- 4. Separate regulatory localization from bespoke process customization.** The first belongs in standard configuration. The second belongs on a business case, and the two should be resourced differently.
- 5. Establish a clean core governance council with real authority before go-live.** Keep it active for at least 24 months afterward, since debt accumulates fastest once the program team disperses.

6. Secure experienced clean core and BTP delivery capacity early. The Gulf's SAP skills market is tightening, and this capacity should not be assumed available closer to the deadline.

7. Give business process owners formal accountability for standardization decisions. Most requests to customize originate from the business, not from IT.

8. Track business-outcome KPIs from day one of the program. Time to configure a new compliance requirement and time to onboard a new entity matter more than the technical go-live date alone.

Conclusion

The GCC's SAP S/4HANA migration wave is not a future decision. It is happening now, across a region that is simultaneously funding rapid digital growth and tightening its regulatory expectations of enterprise data. The 2027 deadline gives that wave a fixed endpoint, but the deadline itself is the least interesting part of the story.

What matters is what enterprises build on the other side of it. A migration executed purely against the calendar tends to produce a modern-looking system carrying an old system's habits: the same customization, the same instance sprawl, the same difficulty absorbing the next regulatory change. A migration executed with clean core discipline produces something genuinely different: a core that gets easier, not harder, to change over time.

The choice is not between speed and quality. It is between two definitions of what “done” means. Enterprises that define done as “live on S/4HANA” will hit their date and inherit a second modernization project within the decade. Enterprises that define done as “able to absorb the next mandate, market, or business model change through configuration” will spend more discipline now, and considerably less disruption later.

For GCC organizations still shaping their migration approach, the practical next step is not more analysis of whether to move. That decision was made when SAP set the maintenance date. The next step is deciding, deliberately, what kind of core the organization wants to be operating in 2032, and building the governance now to get there.

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